# Martin E. Zweig
**1942–**

Martin Zweig, who cofounded Avatar Associates and manages several of his firm's mutual funds, is best known for his top-ranked *Zweig Forecast,* a newsletter for do-it-yourself investors. As a kid growing up in Cleveland, he first became interested in statistics while following the Indians baseball team. As a first grader, he became acquainted with the fickleness of the stock market—the year was 1948, and the day after Harry S. Truman won his stunning upset, the market plunged 3.8 percent. Apparently, the brokers preferred the Republican candidate, Dewey. His education continued: At 13 he received a gift of six shares of General Motors stock, and he started reading the financial pages to keep track.

In 1960 Zweig went to the University of Pennsylvania's Wharton School of Business. As a freshman he hoped to learn about investments, but the closest he got was a rather dry economics course. However, he learned: "If you master the lessons of economics and the laws of supply and demand it's bound to be beneficial in business or the stock market." Another lesson came when he and some friends thought about starting their own investment group—the drawback in getting started was in working more or less by committee. "I've never heard of a great investor who operated by committee" he said.

After a short stint as a broker at Bache & Co., Zweig attended the University of Miami for an MBA and then went to Michigan State for a Ph.D. in finance. In researching his dissertation he learned how to track investor sentiment. "In accumulating data for my dissertation, I unearthed some figures from the Securities and Exchange Commission going back to World War II and found that when options investors got too optimistic—buying lots of calls and shunning puts—the stock market was generally heading for trouble. The reverse was also true." After making a couple of correct predictions, Zweig launched his newsletter in 1971. He formed the Zweig Total Return Fund in 1986, and has formed several more funds since. A strategy he feels is misunderstood is short selling, which he espouses in *Selling Short—It's Not Un-American.*